CSIS | KOREA DAILY BRIEF

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TODAY AT A GLANCE

1. Foreign Ministers Cho, Rubio, and Motegi signed a Trilateral Arctic Pacific Partnership memorandum at the G20 in Atlanta on Oct 30.
2. North Korea displayed at least 15 drone types targeting mock ROK guard posts and a US M1 Abrams tank at the Oct 29 exhibition.
3. Blockchain firms TRM Labs and Chainalysis attributed the record $6.3B Binance hack to North Korean group TraderTraitor; Trump said the US is investigating.

KOSPI	USD/KRW	BRENT	LEE APPROVAL	KIM LAST SEEN	BOK RATE
5,730.74	1,335.10	$117.64	39%	Oct 30	3.00%
−3.5%	−0.2%	+2.4%	+2 pts Oct 13-15	1 day ago	Oct 2026

01 | TOP STORIES

US State Department, Trilateral

US, ROK, Japan FMs sign Arctic-Pacific partnership pact, reaffirm DPRK denuclearization at G20

Cho Hyun, **Marco Rubio**, and Japanese Foreign Minister Toshimitsu Motegi met on the margins of the G20 in Atlanta on October 30 and signed a Memorandum of Cooperation for a Trilateral Arctic Pacific Partnership (TAPP) covering maritime cooperation and economic partnership in the Pacific Arctic.

The three foreign ministers reaffirmed their 'resolute commitment to the complete denuclearization' of North Korea and called for full implementation of UN Security Council resolutions. ROK MOFA readout notes the meeting was held approximately one month after a prior trilateral on the sidelines of the UN General Assembly, the fourth such trilateral in four months.

Dong-A Ilbo, DPRK

North Korea exhibits drones targeting mock ROK guard post and US tank at 'Unmanned Aviation Technology Development-2026'

Kim Jong Un attended the October 29 'Unmanned Aviation Technology Development-2026' exhibition, where North Korea displayed *at least 15 drone types* across strategic, operational, and tactical categories and conducted live demonstrations, including a Harop-resembling loitering munition destroying a mock South Korean border guard post on an island and an X-shaped drone striking mock-ups of a South Korean K9 howitzer and a US M1 Abrams tank.

A Bulsae-4 air-to-ground missile fired from a Satbyeol-9 unmanned attack aircraft struck a mock counter-battery radar. The exhibition followed Pyongyang's rejection of Seoul's proposal for military talks and its October 29 launch of approximately 10 short-range ballistic missiles toward the sea.

The Hill / The Hill International, DPRK

Trump says US investigating Binance hack; blockchain firms tie $6.3B theft to North Korean group TraderTraitor

President **Donald Trump** said in the Oval Office that the US is investigating whether North Korea is responsible for the *$6.3 billion* hack of Binance, the largest cryptocurrency theft on record. Blockchain intelligence firms TRM Labs and Chainalysis both attributed the theft to TraderTraitor, a North Korean hacking unit with a history of targeting digital asset platforms.

Dong-A Ilbo, US-Korea

Seoul signals OPCON transfer could advance in early 2027, eyes December SCM for timeline

Wi Sung-lac, director of national security at the Presidential Office, said South Korea and the US completed a Full Operational Capability (FOC) capability assessment during this year's Ulchi Freedom Shield exercise, positioning the allies to set a target year for wartime operational control (OPCON) transfer.

Seoul hopes to settle the timeline at a ROK-US defense ministers' meeting in December followed by the Security Consultative Meeting (SCM) early next year; a senior Presidential Office official said Washington is not opposed to the transfer itself. Wi also said Seoul demanded an apology and concrete accountability from North Korea over the September DMZ land mine explosion.

02 | OVERNIGHT

Yonhap News Agency, US-Korea

Hanwha Defense USA wins $269M US Navy contract to build medium landing ship at Philly Shipyard

First US Navy shipbuilding contract for a Korean-owned yard.

Korea Times, DPRK

Swiss foreign minister met North Korean FM Choe Son Hui after opening diplomatic office in Pyongyang

KCNA confirms Swiss FM Cassis met Choe Son Hui and Cho Yong Won.

Reuters, DPRK

North Korea says sanctions do not work, rejects status as non-nuclear-weapons state

KCNA Foreign Ministry press statement issued amid G20 trilateral meeting.

Yonhap News Agency, US-Korea

DP defense committee chairman Jin Sung-joon receives US visa after initial rejection

Jin departs Sunday to meet US Pacific commander on alliance cooperation.

WSJ, DPRK

WSJ: Clues point to North Korea in massive Binance crypto heist

TraderTraitor group linked to theft; hack executed in minutes.

Nikkei, Japan-Korea

Toss operator to acquire Japanese online brokerage Cheer

Expands Korean fintech footprint into Japanese retail brokerage market.

Newsis, ROK Economy

BOK November rate hike speculation grows after surprise growth and high inflation data

Analysts cite Q3 GDP beat and persistent inflation as pressure for a hike.

FT, DPRK

FT: How North Korea became a hacking superpower

Sanctions-driven investment in cyber warfare now funds significant state revenues.

03 | PYONGYANG WATCH

Kim Jong Un

No public appearance today, last seen 1 day ago

No KCNA watch flag. 6 provocations logged in the last 7 days.

> *"The aim to seize the absolute superiority in the drone technology is an indispensable option in the light of the ever-changing patterns of modern warfare. Strength precisely means peace and peace is guaranteed only by strength."*
>
> **Kim Jong Un**, Kim Jong Un inspects new stealth drone, calls for 'absolute' UAV superiority

TOP KCNA ARTICLES

Reuters

Talks Held between DPRK and Swiss Foreign Ministers

KCNA confirmed Swiss FM Ignazio Cassis met DPRK FM Choe Son Hui and Workers' Party Secretary Cho Yong Won in Pyongyang, the first such Western ministerial engagement in years following the reopening of Switzerland's diplomatic office in North Korea.

Reuters

North Korea Denounces South Korea-US Air Defense Drills, Vows to Deter with Force

KCNA condemned the 'Freedom Flag' air defense exercises between the ROK and US, vowing to counter them with force, the statement follows North Korea's October 29 ballistic missile salvo.

SENIOR OFFICIALS

Choe Son Hui, Minister of Foreign Affairs, DPRK

Met Swiss FM Ignazio Cassis in Pyongyang following the reopening of Switzerland's diplomatic office in North Korea, per KCNA.

Cho Yong Won, Secretary, Workers' Party of Korea

Met Swiss FM Cassis during his Pyongyang visit, per KCNA readout.

> **Bottom line:** State media's lead items were the Swiss FM Pyongyang visit and a Foreign Ministry press statement rejecting sanctions and nuclear weapons-state denial, while KCNA reported the October 29 drone exhibition and 600mm 'Sniper' rocket live-fire demonstration without yet acknowledging the simultaneous ballistic missile salvo.

04 | ROK GOVERNMENT

President and ministries, Saturday, October 31, 2026

MINISTRY OF FOREIGN AFFAIRS

FM Cho Hyun

Trilateral FM meeting with US and Japan at G20 in Atlanta; signed TAPP memorandum

FM Cho Hyun met with Secretary Rubio and Japanese FM Motegi on October 30 on the sidelines of the G20 in Atlanta, the fourth trilateral meeting in four months. The three signed a Memorandum of Cooperation for a Trilateral Arctic Pacific Partnership and reaffirmed commitment to DPRK denuclearization; Cho described Seoul's role as 'pacemaker' for Korean Peninsula peace.

Primary **Foreign Ministry**
Reported **Yonhap**

MINISTRY OF FOREIGN AFFAIRS

Jeong Yeon-du, Head of Diplomatic Strategy and Intelligence

Met Swiss FM Cassis visiting Seoul following his Pyongyang trip; welcomed Swiss diplomatic office reopening in North Korea

ROK MOFA's Jeong Yeon-du held a dinner consultation with Swiss FM Ignazio Cassis on October 30. Jeong said Seoul is watching the Swiss diplomatic office reopening in Pyongyang and hopes it will positively contribute to expanding communication and engagement with North Korea; Cassis shared impressions from his Pyongyang visit.

Primary **Foreign Ministry**

MINISTRY OF FOREIGN AFFAIRS

ROK MOFA

UN General Assembly First Committee adopted ROK-Netherlands co-sponsored AI in military domain resolution for third consecutive year

The 81st UN General Assembly First Committee adopted a resolution on 'Artificial Intelligence in the Military Domain and its Implications for International Peace and Security' on October 30 with support from 171 member states, the third consecutive year of adoption. The resolution establishes Structured Dialogue sessions in Geneva in 2027 and 2028 on responsible military AI use.

Primary **Foreign Ministry**

PRESIDENTIAL OFFICE

President Lee Jae-myung

Made unannounced inspection visit to North Gyeongsang Province rural basic income pilot areas

President Lee visited Cheongsong and Yeongyang counties on October 31 to inspect the rural basic income pilot program, which provides residents 150,000 won per month in local gift vouchers. Lee said the program suffers from political instability and that securing its continuity through field results is the key challenge.

Yonhap

05 | US-KOREA TRADE & INVESTMENT

TARIFF STATUS

Autos and parts Section 232	**15%** Reduced
Steel and aluminum Section 232	**50%** Active
Reciprocal tariff 10% surcharge (Section 122), expired Jul 24 2026	**Expired**
Section 301 USTR, Section 301 determination, pending, no fixed date	**Active**

6 more sector rates on the trade reference page; no rate changed since the last issue.

Steel and aluminum remain at 50% and autos at 15%, both under Section 232. The Section 122 reciprocal surcharge expired July 24, 2026, leaving no baseline reciprocal tariff. Section 301 investigations launched March 11 are now the primary prospective tariff vehicle.

INVESTMENT PLEDGE, $350B

$350B pledged; 1 project selected so far, led by Encinal gas-fired power plant, Texas ($22.3B).

$150B shipbuilding (MASGA), $200B strategic sectors, $100B energy purchases; no official Strategic Investment Corporation drawdown figure reported to date.

TODAY'S TRADE NEWS

Yonhap News Agency, $269M

Hanwha Defense USA wins $269M US Navy contract to build medium landing ship at Hanwha Philly Shipyard

Hanwha Philly Shipyard in Philadelphia will build one LSM with options for three additional vessels; construction scheduled to begin Q4 2027, first delivery expected 2030 under Tote Services' $2.2B vessel construction manager contract.

06 | CAPITOL HILL

Minplus, Legislation

US Congress advances munitions transfer bill that would ease transfer of American arms to Ukraine via South Korea and allies

A US congressional bill would facilitate transfer of American-purchased munitions to Ukraine through South Korea and allied countries; the measure is designed to address Ukraine's ammunition shortfall while preserving allied stockpile management.

07 | NORTHEAST ASIA WATCH

Nikkei, Japan-Korea

Japan's IHI vies with Korean rival to capture overseas nuclear demand

Japan's IHI is competing directly with South Korean counterparts for overseas nuclear reactor contracts as both countries pursue export market share amid rising global demand for nuclear energy.

08 | KOREA AND THE WORLD

Daily Finland, Europe, Diplomacy

German Chancellor Merz says North Korea threatens European security during Seoul visit

German Chancellor Friedrich Merz, visiting Seoul on October 29, stated that North Korea's weapons cooperation with Russia threatens freedom across Europe; Merz and President Lee announced an 'enhanced strategic partnership' covering tech, defense, and supply chain cooperation.

The New Voice of Ukraine, Diplomacy

Ukraine seeks to ease tensions with South Korea; Seoul Foreign Ministry denies any plan to sever diplomatic ties

Ukraine's Foreign Ministry said it is working to de-escalate tensions with South Korea over Seoul's refusal to supply arms to Kyiv; the ROK Foreign Ministry confirmed it has no plans to sever diplomatic relations with Ukraine.

09 BUSINESS & ECONOMY

CNBC

Timothy Moe: Korea is delivering 350% earnings growth this year

Goldman Sachs strategist Timothy Moe told CNBC that South Korea is delivering 350% earnings growth in 2026, driven by the semiconductor cycle and rising corporate profitability. The KOSPI fell 3.48% on October 30 despite the strong earnings backdrop.

Korea Economic Daily

Horizon Energy to more than double plastic-to-oil capacity in South Korea

Horizon Energy is expanding its waste plastic pyrolysis capacity in South Korea, targeting doubled output as South Korean waste management M&A activity accelerates.

Horizon Energy

Korea Herald

India bets on Korean shipbuilding ties for top-five push by 2047

India is strengthening shipbuilding cooperation with South Korea as part of its ambition to become a top-five global shipbuilder by 2047, according to Korea Herald reporting.

10 UPCOMING

NOV 1

APEC summit, Trump expected to attend in China

Speculation is mounting that Trump and Kim Jong Un could reconnect at the APEC summit in China, which Trump is due to attend, per Al Jazeera reporting citing US-DPRK engagement signals.

11 ANALYSIS

OFFICIALS ON X

FM Cho Hyun (@FMChoHyun), October 31

“In Atlanta, I met with Indonesia's newly appointed Foreign Minister, Arrmanatha Nasir, on the margins of the G20 Foreign Ministers' Meeting. We agreed to further expand mutually beneficial cooperation in diplomacy and security, defense and defense industry, trade and investment, energy, and advanced technology, in line with the Special Comprehensive Strategic Partnership elevated in April.”

The meeting with FM Arrmanatha Nasir, who took office this month, follows the April 2026 elevation of the ROK-Indonesia relationship to Special Comprehensive Strategic Partnership status. **View on X**

Commander UNC/CFC/USFK (@CDRUNCCFCUSFK), October 31

“Today in Busan, we honored Serge Archambeau, a French Korean War veteran whose final wish was to rest beside the comrades he left in Korea. His burial at the UN Memorial Cemetery brings him home to the country he called his 'special second homeland.'”

Gen. Xavier Brunson attended the burial ceremony at the UN Memorial Cemetery in Busan for a French Korean War veteran; the UN Memorial Cemetery is the only UN-designated cemetery outside the United States. **View on X**

Direct posts by tracked official accounts, attributed as posted. Not independently verified beyond the post.

COMMENTARY

Breaking the Impasse: Seeking New Approaches to Nuclear Negotiations and Coexistence on the Korean Peninsula. The Stimson Center report argues that the impasse in nuclear negotiations requires reconsidering the precondition of complete denuclearization before any engagement, exploring coexistence and risk-reduction frameworks instead. The analysis is directly relevant as US-ROK-Japan foreign ministers reaffirmed complete denuclearization language at the October 30 Atlanta trilateral. (Stimson Center)

China's Coercion of Pratas and Other Taiwanese Outlying Islands, Kim Jong Un Alive and Visiting China, Major Joint US-Japan Military Exercises for a China Contingency. Hudson Institute's Miles Yu discusses Kim Jong Un's October border trip to Dandong and situates it within the growing China-North Korea-Russia alignment, arguing it has direct implications for US deterrence posture in the region. The analysis connects Kim's Dandong visit to simultaneous Keen Sword 27 exercises in Japan's western islands. (Miles Yu, Hudson Institute)

What's Happening Between the Two Koreas at the DMZ? | The Capital Cable #145. The Capital Cable #145 from CSIS addresses developments between the two Koreas at the DMZ. (CSIS Center for Strategic and International Studies)

12 | PUBLIC SENTIMENT

Lee approval

39%

+2 pts vs Oct 6-8
Gallup Korea
October 13-15, 2026

Trend: Down from 42% on Aug 25-27, across 6 readings.

Ruling	Opposition	Independents
Democratic	People Power	
36%	27%	29%

Gallup Korea publishes weekly; this reading is 2 weeks old (October 13-15, 2026).

13 | THE WIRE

DPRK

38 North

38 North: North Korea publicly displays latest ICBM, SLBMs, and 'Tactical Nuclear Attack' submarine

Analysis by Vann Van Diepen documents state media coverage of the October 11 National Defense Revolution inauguration, noting displayed SLBMs are not new systems despite state media framing.

US-KOREA

UPI

South Korea prepares for possible US-North Korea talks, with Seoul positioning as facilitator

ROK spy agency assessment that Kim conveyed Pyongyang's position on potential Trump talks during Dandong visit is driving Seoul's preparation for a facilitation role.

ROK ECONOMY

Korea Herald

Seoul seeks 'way out' of Ukraine dispute, denies tilt toward Russia

ROK Foreign Ministry denied plans to sever diplomatic ties with Ukraine amid friction over Seoul's refusal to supply arms; ministry said it is seeking a diplomatic resolution.

Chosun Ilbo

Indonesia seeks gasoline exports from South Korea amid domestic shortages

Jakarta approached Seoul refiners to source emergency gasoline supplies, an opening for ROK energy exporters in Southeast Asia.

TRILATERAL

VOA

US raised China's 'coercive behavior in the West Sea' at trilateral FM meeting; ROK and Japan did not

SBS reporting indicates the US side raised China's Yellow Sea coercive behavior at the October 30 Atlanta trilateral, while the ROK and Japan sides did not include the item in their readouts.

14 | SATELLITE & LOCATION WATCH

Elevated or alert, 2 of 11 sites: Yongbyon Nuclear Complex; Sohae Satellite Launch Station.

ACTIVITY, RISING

Sinpo South Shipyard

As of May 2025: Hero Kim Kun Ok SLBM submarine exited drydock after 2+ years of fitting-out but was still not operational. New submarine construction begun in separate bay. NK Pro satellite analysis (Oct 20 2026) separately reports North Korea's Nampho Shipyard missed a deadline earlier in Oct 2026 to launch a 5,000-ton naval destroyer, with hull sections visible at two potential outdoor assembly areas. 38 North analysis published Oct 30 documents public display of a vessel described as a 'Tactical Nuclear Attack' submarine.

imagery as of 2026-10-30

ACTIVITY, RISING

Sinuiju-Dandong (NK-China border)

38 North satellite imagery from October 16 confirms trucks traversing the New Yalu River (DPRK-Friendship) Bridge one day after the October 15 official opening, marking the start of commercial vehicle traffic. Daily NK reports (Oct 31) that North Korean trucks have still not joined Chinese cargo trucks on the bridge two weeks after the Oct 15 opening; North Korean transport officials are still preparing vehicles. North Korea-China trade reached $299M in September 2026, the second-highest monthly total in 2026. Kim Jong Un crossed the New Yalu River Bridge on October 24 during his unannounced visit to Dandong.

imagery as of 2026-10-31

9 other monitored sites: no new reporting since the last issue.

That's today's brief. No. 220

TOMORROW

APEC summit, Trump expected to attend in China

Feedback and tips are welcome. Write to **alim@csis.org**.

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